

UHU046: Advance Finance

L	T	P	Cr
2	0	2	3.0

Course Objectives: The various objectives of the course are:

1. To understand the various sources of financing and valuations of equity and debts
2. To develop the understanding of various dividend decisions theories and practices
3. Evaluation of lease financing and decisions
4. Develop capabilities for working capital management
5. Apply corporate restructuring and financial restructuring for financial decisions

Sources of Funds: Types of securities, Issuing the capital in market, Pricing of issue, Valuation of Stocks and bonds

Dividend Decisions: Traditional Approach, Dividend Relevance Model, Miller and Modigliani Model, Stability of Dividends, Forms of Dividends, Issue of bonus shares, Stock Split

Evaluation of Lease Contracts: Leasing, Types of leasing, leasing agreements, evaluating the lease decisions

Corporate Restructuring: Mergers and Acquisitions- Types of Mergers, Evaluation of Merger Proposal, Take-over, Amalgamation, Leverage buy-out, Management buy-out, Corporate Failure and Liquidation

Financial Restructuring: Share Split, Consolidation, Cancellation of Paid-up Capital, Other Mechanisms

Working Capital Management: Working Capital Planning, Monitoring and Control of Working Capital, Working Capital Financing, Managing the Components of Working Capital-Cash Management, Receivable Management, and Inventory Management

Introduction to Derivatives: Basics of Futures, Forwards, Options, Swaps, Interest rate Payoff Diagrams, Pricing of Futures, Put Call Parity, Option Pricing using Binomial Model and Black Scholes Model, Use of Derivatives for Risk-Return Management- Credit Default Swaps

Home Assignment:

Case study materials book will be given to students. Students are required to meet in groups before coming to class and prepare on the case for the day. Instructor may ask the student groups to present their analysis and findings to the class.

Further, the topic for class discussion will be mentioned beforehand and students should be prepared to discuss these topics in class. Few topics are mentioned below as examples. Instructor can add or change any topic as per requirement.

1. Topic: Historical perspectives of markets like major boom and busts, bull and bear cycles, major market crashes, bubbles
2. Topic: Major scams in the market, e.g. Satyam case

Course Learning Outcomes (CLOs) / Course Objectives (COs):

This course will help students to develop in-depth knowledge about the financial techniques and instruments. The students will learn to

1. Imbibe knowledge about the decisions and decision variables involved with financial activities of the firm.
2. Develop skills for interpretation business information and application of financial theory in corporate investment decisions, with special emphasis on working capital management.
3. Familiarizing the students with the corporate and financial restructuring.

Text Books:

1. Khan M.Y., and Jain, P.K., Financial Management: Text, Problems, and Cases, Tata McGraw Hill (2008), 5th Edition, New Delhi.

Reference Books:

1. Booth, L., Cleary, W.S., and Drake, P.P., Corporate Finance, Wiley India Edition (2014), New Delhi.